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attains a certain age. In this case, either the whole amount of the premium is paid once or premium is paid in instalments over a certain period. This policy is useful to those who prefer a regular income after a certain age.

v) Children's Endowment Policy

This policy is taken to provide funds for the education or marriage of children. For example, Jeevan Anurag Policy. In this policy, the amount is payable by the insurer when the children attain a particular age. The premium is paid by the person entering into the contract. However, no premium will be paid, if he/she dies before the maturity of the policy.





2. Non – Life Insurance

It refers as the insurance not related to human but related to properties.

(a) Fire Insurance

Fire insurance is a contract whereby the insurer, in consideration of the premium paid, undertakes to make good any loss or damage caused by a fire during a specified period upto the amount specified in the policy.

A claim for loss by fire must satisfy the following two conditions:

(i) There must be actual loss; and

(ii) Fire must be accidental and non-intentional.

Essential elements of Fire Insurance Contract

1. The insured must have insurable interest both at the time of insurance and at the time of loss.
2. The contract is based on the principle of utmost good faith.
3. It is based on the principle of strict indemnity.
4. Fire must be the proximate cause of damage or loss.

(b) Marine Insurance

Marine insurance is a contract of insurance under which the insurer undertakes to indemnify the insured in the manner and to the extent thereby agreed against marine losses. The insured pays the premium in consideration of the insurer's (underwriter's) guarantee to make good the losses arising from marine perils or perils of the sea.